Establishing share value

The forces of supply and demand set the price of shares. Companies issue only a limited number of shares to the public, which can then be bought and sold on the stock exchange. Demand for those shares is determined by whether investors think the company has good future economic prospects. If investors believe that the company is primed for substantial growth, they will want to buy shares in it, which consequently drives up the share price.

25%
the drop in share value over four days during the Wall Street Crash of 1929

SPLITTING SHARES

A company occasionally carries out a "share split" to its existing shares. This increases the total number of shares, although the combined value of shares stays the same. A share split allows a company to lower the price of its shares to bring them in line with the price of competitor shares. The share split is usually a two-for-one or three-for-one increase, whereby the shareholder sees the number of their shares double or triple.

Rising value of shares

Financial market observers believe that the emphasis on optimizing the value of shares for shareholders began in 1976, when the idea of maximizing profit for shareholders became a priority. Since then, the market has experienced a general upward trend with occasional deep dips. The graph tracks the average value of all shares on London's FTSE from 1964 to 2013.

NEED TO KNOW

- **Bear market** Market that has seen decline of 20 percent over a period of 2 months or more
- **Bull market** Market where share prices are rising and investor confidence is high
- **Market correction** Short-term decline in share prices to adjust for an overvaluation